Does using r_θ instead of r_{true} eliminate discontinuities?
$-r_\theta^T y^*(\lambda)$ is the LP optimal value — continuous in LP parameters

Standard DFL: $-r_{true}^T y^*(\lambda)$
(75 basis regions, piecewise-linear with kinks)

$-r_{true}^T y^*(\lambda)$

Gradient of $-r_{true}^T y^*$: jumps at basis changes

$\partial/\partial\lambda$

λ_{pred}

Self-consistent: $-r_\theta^T y^*(\lambda)$
(LP optimal value — continuous by LP theory)

$-r_\theta^T y^*(\lambda)$

Gradient of $-r_\theta^T y^*$: smoother?

$\partial/\partial\lambda$

λ_{pred}